Taxing Times

Like many in the middle class, Dipanwita Gupta feels stifled by the high tax rates. Recently, she had to turn down a weekend getaway plan with friends as it closely followed a trip she had just taken with her son. Even smaller amounts such as Rs 6,000—which Gupta needed to place a matrimonial advertisement for her girl cousin—pinch her pocket. Similarly, when the matter of their annual family vacation in April was brought up, Gupta decided to do without it, thinking of how the amount could instead help a sister-in-law, just 35, who has been diagnosed with cancer and cirrhosis of the liver. Since the patient's family isn't well-off, Gupta and her husband had decided to help them financially.

The conscious choice to scrimp extends to her professional life as well, Gupta claims. As owner of a digital marketing business for MSMEs with an annual revenue of Rs 50 lakh, she often faces pressure to spend on out-of-state networking events, business group parties and corporate gifts. Instead, she chose to invest that money in software tools, keep it as a hiring buffer, or give yearly employee raises, however small the percentage is.

"The middle-class crunch isn't just about choosing between material wants. It's about balancing immediate desires against deeper values—both in personal and professional life. Yet, people like us could do good with a lesser tax burden," Gupta says.

-Arkamoy Datta Majumdar

SHRINKING INCOMES

High taxes have been another disincentive, with individuals being taxed on their incomes as well as on the goods and services they consume. The total tax burden on the middle class—including income tax, GST on daily household items, property tax, luxury and entertainment tax—can range from 26 per cent to 38 per cent, as estimated by financial consultants Felix Advisory. "The middle class of the country, the ones who offer reasonable value in the middle segment, is finding its fortunes shrinking," Suresh Narayanan, CMD of Nestle India, said in a media interaction in October 2024.

To be sure, India saw a K-shaped recovery after the pandemic, where the rich got richer and the poor poorer. Corporates were also bestowed with huge cuts in tax rates in the hope that they would expand their businesses and generate employment. The economically weaker sections and rural Indians, on the other hand, were lavished with a rash of cash benefits and sundry schemes, dictated in large part by electoral considerations. But the middle class was left to its own devices, with the money in its hands increasingly buying less and less and no source of succour.

And this when the demographic makes up 38 per cent of India's population, accounts for over half of the country's total household income and more than 50 per cent of its total consumption. It is also the fastest-growing segment in the country, according to PRICE MD & CEO Rajesh Shukla, in absolute and in percentage terms, rising at 6.3 per cent per year. Leading the consumer boom since liberalisation in 1991, the middle class has been the cornerstone of India's economic growth. Now, squeezed on all sides, they are doing what they do best—curbing consumption. And their distress is beginning to tell on the India story. Growth projections for FY25 have already been revised downwards to 6.4 per cent from the 7 per cent the RBI had forecast earlier this year and way below the 8 per cent-plus clocked in the previous financial year.

"Between 2020 and 2024, the mass segment grew by 17-18 per cent, while the premium saw over 45 per cent growth"



– KAMAL NANDI, *Business Head & EVP, Appliances Business, Godrej Enterprises Group*

Sector after sector—from automobiles to housing to consumer goods to FMCG products—is taking note of this subdued sentiment of the middle class. Sachin Mishra, a 31-year-old government land revenue officer in Ayodhya, Uttar Pradesh, had hoped to buy a new car before he got married last year (see *Skimping on His Dreams*). But servicing a personal loan, supporting his aged parents, rent and groceries consume a large part of the family's annual income of Rs 10 lakh. He hopes to buy a second-hand car, but the high cost of credit is proving discouraging. His predicament is reflecting in the decline in the sales of passenger vehicles, an indicator of consumption trends in India, which saw a year-on-year drop of 14 per cent in November, more than the market had anticipated. Sales in the hatchback segment fell by 4 per cent—to 240,000 units in the second quarter of FY25 from 258,000 in the previous one. The segment lost market share as well, ceding space to the costlier SUVs and MPVs, which saw their sales rise by 7.5 per cent and 9.7 per cent, respectively, exemplifying the K-shaped growth in the economy. However, Maruti